

The additions and revisions read as follows:

§242.600 NMS security designation and definitions.

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(b) * * *

(69) * * *

(iii) *Best odd-lot order to buy and best odd-lot order to sell.* The best odd-lot order to buy means the highest priced odd-lot order to buy that is priced higher than the national best bid, and the best odd-lot order to sell means the lowest priced odd-lot order to sell that is priced lower than the national best offer, for an NMS stock that are calculated and disseminated on a current and continuing basis by a competing consolidator or plan processor or calculated by a self-aggregator; provided, that in the event two or more market centers transmit to a competing consolidator, plan processor, or a self-aggregator identical odd-lot buy orders or odd-lot sell orders for an NMS stock, the highest priced odd-lot buy order or lowest priced odd-lot sell order (as the case may be) shall be determined by ranking all such identical odd-lot buy orders or odd-lot sell orders (as the case may be) first by size (giving the highest ranking to the odd-lot buy order or odd-lot sell order associated with the largest size), and then by time (giving the highest ranking to the odd-lot buy order or odd-lot sell order received first in time).

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(89) * * *

(i) * * *

(F) An indicator of the applicable minimum pricing increment required under §242.612.

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(iv) The primary listing exchange shall also provide the information required under paragraphs (b)(89)(i)(E) and (F) of this section to the applicable plan processor for dissemination.

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(93) * * *

(i) For any NMS stock for which the average closing price on the primary listing exchange during the prior Evaluation Period was:

(A) \$250.00 or less per share, an order for the purchase or sale of an NMS stock of 100 shares;

(B) \$250.01 to \$1,000.00 per share, an order for the purchase or sale of an NMS stock of 40 shares;

(C) \$1,000.01 to \$10,000.00 per share, an order for the purchase or sale of an NMS stock of 10 shares;

(D) \$10,000.01 or more per share, an order for the purchase or sale of an NMS stock of 1 share; and

(ii) *New NMS stocks*. Any security that becomes an NMS stock during an operative period as described in paragraph (iv) of this section shall be assigned a round lot of 100 shares.

(iii) For purposes of this section only, the Evaluation Period means (A) all trading days in March for the round lot assigned on the first business day of May and (B) all trading days in September for the round lot assigned on the first business day of November during which the average closing price of an NMS stock on the primary listing exchange shall be measured by the primary listing exchange to determine the round lot for each NMS stock.

(iv) The round lot assigned under this section shall be operative on (A) the first business day of May for the March Evaluation Period and continue through the last business day of October of the calendar year, and (B) the first business day of November for the September Evaluation Period and continue through the last business day of April of the next calendar year.

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3. Amend §242.603 by revising the section heading and paragraph (b) to read as follows:

§242.603. Distribution, consolidation, dissemination, and display of information with respect to quotations for and transactions in NMS stocks

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(b) *Consolidation and dissemination of information.*

(1) Application of paragraphs (b)(2) and (3) of this section:

(i) Compliance with paragraph (b)(3) of this section is required until the date indicated by the Commission in any order approving amendments to the effective national market system plan(s) to effectuate a cessation of the operations of the plan processors that disseminate consolidated information regarding NMS stocks.

(ii) Compliance with paragraph (b)(2) of this section is required 180 calendar days from the date of the Commission's approval of the amendments, filed as required under §242.614(e), to the effective national market system plan(s).

(2) Every national securities exchange on which an NMS stock is traded and national securities association shall act jointly pursuant to one or more effective national market system plans for the dissemination of consolidated market data. Every national securities exchange on which an NMS stock is traded and national securities association shall make available to all competing consolidators and self-aggregators its information with respect to quotations for and

transactions in NMS stocks, including all data necessary to generate consolidated market data, in the same manner and using the same methods, including all methods of access and the same format, as such national securities exchange or national securities association makes available any information with respect to quotations for and transactions in NMS stocks to any person.

(3) Every national securities exchange on which an NMS stock is traded and national securities association shall act jointly pursuant to one or more effective national market system plans to disseminate consolidated information, including a national best bid and national best offer and odd-lot information, on quotations for and transactions in NMS stocks. Such plan or plans shall provide for the dissemination of all consolidated information for an individual NMS stock through a single plan processor and such single plan processor must represent quotation sizes in such consolidated information in terms of the number of shares, rounded down to the nearest multiple of a round lot. Every national securities exchange on which an NMS stock is traded and national securities association shall make available to a plan processor all data necessary to generate odd-lot information.

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4. Amend §242.610 by:

- a. Revising paragraph (c);
- b. Redesignating paragraphs (d) and (e) as (e) and (f); and
- c. Adding new paragraph (d).

The revisions and additions read as follows:

§242.610 Access to quotations.

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(c) *Fees for access to quotations.* A trading center shall not impose, nor permit to be imposed, any fee or fees for the execution of an order against a protected quotation of the trading center or against any other quotation of the trading center that is the best bid or best offer of a national securities exchange or the best bid or best offer of a national securities association in an NMS stock that exceed or accumulate to more than the following limits:

(1) If the price of a protected quotation or other quotation is \$1.00 or more, the fee or fees cannot exceed or accumulate to more than \$0.001 per share; or

(2) If the price of a protected quotation or other quotation is less than \$1.00, the fee or fees cannot exceed or accumulate to more than 0.1% of the quotation price per share.

(d) *Transparency of fees.* A national securities exchange shall not impose, nor permit to be imposed, any fee or fees, or provide, or permit to be provided, any rebate or other remuneration, for the execution of an order in an NMS stock that cannot be determined at the time of execution.

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5. Revise § 242.612 to read as follows:

§242.612 Minimum pricing increment.

(a) *Definitions.* For purposes of this rule only, the following terms shall have the meanings set forth in this rule.

(1) *Evaluation Period* means:

(i) The three months from January through March of a calendar year and

(ii) The three months from July through September of a calendar year during which the Time Weighted Average Quoted Spread of an NMS stock shall be measured by the primary listing exchange to determine the minimum pricing increment for each NMS stock.

(2) *Time Weighted Average Quoted Spread* means the average dollar value difference between the NBB and NBO during regular trading hours where each instance of a unique NBB and NBO is weighted by the length of time that the quote prevailed as the NBB or NBO.

(b) *Minimum pricing increments.*

(1) The minimum pricing increment under paragraph (2) of this section shall be operative on:

(a) The first business day of May for the Evaluation Period from January through March and continue through the last business day of October of the calendar year, and

(b) The first business day of November for the Evaluation Period from July through September and continue through the last business day of April of the next calendar year.

(2) No national securities exchange, national securities association, alternative trading system, vendor, or broker or dealer shall display, rank, or accept from any person a bid or offer, an order, or an indication of interest in any NMS stock in an increment smaller than required pursuant to either paragraph (i) or (ii) below if that bid or offer, order, or indication of interest is priced equal to or greater than \$1.00 per share:

(i) \$0.01, if the Time Weighted Average Quoted Spread for the NMS stock during the Evaluation Period was greater than, \$0.015; or

(ii) \$0.005, if the Time Weighted Average Quoted Spread for the NMS stock during the Evaluation Period was equal to or less than \$0.015.

(3) No national securities exchange, national securities association, alternative trading system, vendor, or broker or dealer shall display, rank, or accept from any person a bid or offer, an order, or an indication of interest in any NMS stock priced in an increment smaller than \$0.0001 if that bid or offer, order, or indication of interest is priced less than \$1.00 per share.

(c) *New NMS Stocks*. Any security that becomes an NMS Stock during an operative period as described in paragraph (b)(1) of this section shall be assigned a minimum pricing increment of \$0.01 for bids or offers, orders, or indications of interest priced equal to or greater than \$1.00 per share.

(d) *Exemptions*. The Commission, by order, may exempt from the provisions of this section, either unconditionally or on specified terms and conditions, any person, security, quotation, or order, or any class or classes of persons, securities, quotations, or orders, if the Commission determines that such exemption is necessary or appropriate in the public interest, and is consistent with the protection of investors.

By the Commission.

Dated: September 18, 2024

Vanessa A. Countryman,

Secretary.